

**Time:** 4 minutes**Outcome:** Distinguish frictional, structural, and cyclical unemployment.**Difficulty:** ●●○ Intermediate

Types of Unemployment



THE CORE IDEA

Frictional unemployment comes from ordinary job search, structural unemployment from lasting mismatches, and cyclical unemployment from recessions. Layoffs caused by recession are cyclical unemployment. Short-term search between jobs is frictional unemployment. Job loss from weak demand during a recession is cyclical unemployment. A long-term mismatch between skills and available jobs is structural unemployment.



HOW TO RECOGNIZE IT

- A worker loses a job because a recession causes customers to spend less.
- A coal miner loses work because the economy shifts permanently toward other energy sources and the miner lacks transferable skills.
- Frictional unemployment exists because workers and firms take time to match.
- Structural unemployment is about mismatch; frictional unemployment is about normal search.
- A college graduate takes two months to find a first job that matches their skills.



WATCH OUT

Do not use the cause of unemployment to decide official employment status, or using official status without identifying the unemployment type. Active job search makes the worker officially unemployed; normal search after leaving a suitable job is frictional unemployment.



WORKED EXAMPLE: IDENTIFYING UNEMPLOYMENT TYPES

A worker leaves a job and spends six weeks searching for a better match; that is frictional unemployment. A factory worker whose skills no longer match available technology faces structural unemployment. A restaurant worker laid off because a recession reduces spending experiences cyclical unemployment.



CHECK YOURSELF

A worker quits and spends two weeks finding a better job match. What type of unemployment is this?

**READY?**

Return to the game and master this concept.